HDFC securities
Click. Invest. Grow.
20 YEARS

Stock Note

S H Kelkar & Company Ltd.

April 22, 2024

RETAILRESEARCH

S H Kelkar & Company Ltd

HDFC securities
Click. Invest. Grow.
20 YEARS

Industry	LTP	Recommendation	Base Case Fair Value	Bull Case Fair Value	Time Horizon
Personal Care	Rs 202.3	Buy in the band of Rs 202-206 and add on dips to Rs 177.5	Rs 223.5	Rs 241.5	2-3 quarters

HDFC Scrip Code	SHKELKEQNR
BSE Code	539450
NSE Code	SHK
Bloomberg	SHKL:IN
CMP Apr 19, 2024	202.3
Equity Capital (Rs Cr)	138
Face Value (Rs)	10
Equity Share O/S (Cr)	13.8
Market Cap (Rs Cr)	2802
Book Value (Rs)	84
Avg. 52 Wk Volumes	747121
52 Week High	226.3
52 Week Low	103

Share holding Pattern % (Mar, 2024)	
Promoters	58.95
Institutions	19.33
Non Institutions	21.72
Total	100

* Refer at the end for explanation on Risk Ratings

Fundamental Research Analyst
Kushal Rughani
kushal.rughani@hdfcsec.com

Our Take:

S H Kelkar & Company (SHK) is one of the largest domestic players with around 10% market share in Flavour and Fragrance market and with ~20% market share in the domestic fragrances market. MNC players such as Givaudan and Firmenich etc control more than 60% of the market. The fragrance market is highly consolidated with the top-5 players controlling 60-70% of the total market. F&F constitutes key component of a variety of consumer products and hence are critical raw material for FMCG companies. It is a key ingredient behind developing different variants of consumer products and suppliers of particular ingredients are usually not changed during the lifecycle of the product. The sticky nature of the business thus acts as a moat for large established players. Company has product basket of over 9,000 products, which they supply to > 3000 customers including long-term relationships with global MNCs (~15% of client base), as well as with domestic players. Company had roughly 20% of SME business in the past, it had come down to almost 10% in the last 5 years. This year, it will be 12% of overall Fragrance business.

Management has taken various steps to optimize the production between two facilities in Netherlands and Italy. This has helped to increase the volume of production without any significant capex. It expects capex in Europe in FY26 for additional manufacturing capacity.
Company has gained market share in the last 3-4 quarters. Prior to that, the company lost market share as it had reduced business with SME/MSME customers or smaller accounts as a part of strategy.

In line with its strategy to grow though the inorganic route, S H Kelkar has done several acquisitions in the last 2-3 years. Given F&F industry is characterized by high level of customer stickiness, inorganic growth is the quickest way to not only increase market share, but also gain access to new clients. SHK caters to major geographies such as Europe, Asia, and the Middle East. The acquisitions enabled SHK to expand presence into newer markets in Europe within the categories of fine fragrances, air care, and fabric care segments. Earlier, the company largely had customer base of SME/MSMEs, however over a period of time, now the company boasts a good number of MNC clientele. This would help garner better revenue visibility along with strong margin profile. We believe SHK is well placed in terms of geographical exposure, which have high growth potential.

Valuation & Recommendation:

SHK would be a major beneficiary of increasing demand from FMCG companies specifically present in personal care, packaged foods & dairy products. Management guided for ~12% CAGR in revenue over the next 3-5 years along with margin around 16%. Operating margin depends upon its gross margin profile; steady gross margin would ensure better operating margin in the medium term.

We expect 12% revenue CAGR over FY23-26E largely led by strong volume growth in the end user industry. We believe margin should remain around 16-17% over the same period largely due to steady gross margin and higher expenses. We estimate 47.5% PAT CAGR on the back of strong revenue and steady margin over the same period. About 30 months back, Global giant Firmenich Aromatics had bought 10% stake in the company at Rs 173 per share. This should help SHK in technological & R&D newer product development. Company is building new facility in Indonesia and it is likely to get operational in the near term.

We feel that investors' can buy the stock at in the band of Rs 202-206 and add on dips to Rs 177.5 for base case target price of Rs 223.5 (15.75x FY26E EPS) and bull case target price of Rs 241.5 (17x FY26E EPS) over the next 2-3 quarters.

Financial Summary

Particulars (Rs cr)	Q3FY24	Q3FY23	YoY (%)	Q2FY24	QoQ (%)	FY21	FY22	FY23	FY24E	FY25E	FY26E
Total Revenues	496	385	28.8	455	8.9	1322	1564	1687	1902	2108	2361
EBITDA	77	44	76.6	72	7.1	236	215	217	303	342	390
Depreciation	23	20	15.2	22	1.8	62	72	81	90	96	103
Other Income	2	2	46.7	2	22.2	24	18	12	8	10	13
Interest Cost	11	6	68.8	10	8.0	17	16	24	41	30	28
Tax	13	6	143.6	11	21.8	50	-17	41	50	60	71
PAT	32	13	147.7	29	9.9	135	149	61	128	163	196
EPS (Rs)						9.6	10.7	4.4	9.2	11.8	14.2
RoE (%)						15.2	15.1	5.9	11.5	13.3	14.3
P/E (x)						21.1	18.8	45.6	21.9	17.1	14.2
EV/EBITDA (x)						14.3	15.7	15.5	11.1	9.8	8.6

Q3FY24 Result Update

- Revenue for the quarter grew 28.8% YoY at Rs 496cr. EBITDA increased 76.6% YoY at Rs 77cr on better gross profit. Operating margin improved 420bps YoY at 15.5%. Finance cost increased 68.8% YoY at Rs 10.8cr. Net profit surged 147.7% YoY at Rs 32.2cr.
- Fragrance revenue increased 23% YoY at Rs 417cr. EBIT was higher by 51.7% YoY at Rs 57cr.
- Flavour sales increased 59% YoY at Rs 65cr. EBIT surged 925% YoY at Rs 4.7cr.
- Global Ingredients revenue stood at Rs 11.4cr in the quarter and Rs 40cr for 9MFY24. EBIT loss reduced and stood at Rs 2.3cr and Rs 7.7cr.

- Net debt stood at Rs 526cr and net debt to equity stood at 0.45x.
- Europe business grew 5.8% YoY at Euro 26 million. Gross margin expanded 810bps YoY at 54.9%. EBITDA margin improved significantly at 20.2% in 9MFY24.
- Business environment is showing signs of recovery helping both Creative Flavours and Fragrances
- (CFF) and Holland Aromatics grow.
- In the quarter, the company delivered healthy YoY and QoQ revenue growth, sustaining growth momentum.
- Contributions from recently accounts, revitalization of businesses among medium-sized companies, and momentum in exports helped performance.
- Despite the challenging operating environment, gross and EBITDA margin remained strong during 9MFY24, supported by increased volume, pricing initiatives, efficient management of raw material inventories, and favorable operating leverage.
- For 9MFY24, total revenue grew 14.3% YoY at Rs 1396cr. Reported EBITDA stood at Rs 219cr. Net profit increased 48% YoY at Rs 90cr.
- EBITDA excluding tender fee amortization of Rs. 2.63cr/Rs. 7.9cr in the quarter and 9MFY24 stood at Rs 82cr and Rs 231cr in Q3FY24 and 9M FY24 respectively.
- Fragrance business grew 15.7% YoY at Rs 1193cr while Flavour revenue grew 13.2% YoY at Rs 158cr in 9MFY24.
- India sales increased 15% YoY at Rs 792cr. Europe business grew 14.3% YoY at Rs 322cr. RoW markets revenue registered 18% YoY growth at Rs 237cr.

Concall Highlights

- Company witnessed increased contributions from new accounts, revival of demand from midsized and smaller accounts.
- Core Europe segment reported positive results with healthy revenue growth and strong margin.
- Secured multiple order wins from global MNC player after 2 years of effort.
- Management guided for 16% EBITDA margin for the full year. Revenue guidance of 10-12% for the next 3 years
- Targets RoCE above 20% in the next 2 years. Long-term goal of 16.5-18% of EBITDA margin
- It has expansion plans in Indonesia with new manufacturing facility and that should start in the near term.
- It has pricing power to pass on raw material price fluctuations with time lag of 3-5 months.
- Business model focused on regional manufacturing for efficiency and customization.
- Confident of sustaining strong performance in the coming quarters.
- Flavours segment also did well in the quarter.
- F&F industry is well known for its high entry barriers, particularly in establishing new accounts.
- Large part of the growth was led by volume in the quarter.
- Company has presence in Indonesia and South East Asia market for many years. Company has built about business of US$ 10 million. And established its own manufacturing facility for Fragrances in Indonesia, near Jakarta. It will be commissioned in this quarter.
- A bit of product mix as well as operational efficiency, the company has been able to streamline the operations to pull out more production volume from the same facility.
- US market is one of the largest single markets in the world, and it is almost 35% of the global Fragrance and Flavours market, which translates to between US$ 7-8 billion of fragrance and flavour opportunity. The company is just starting to build business in the US.

- Company will set up a design studio, manufacturing, etc. US market is much more consolidated than the European market because it is basically one common market unlike Europe where the market is large, but each country and each region has different preferences.
- New products contribution stood at ~3% of sales in the quarter.
- Company has ~20% market share in Fragrance market in India while all MNC players combined have around 60% market share.
- Company has gained market share in the last 3-4 quarters. Prior to that, the company lost market share as it had reduced business with SME/MSME customers or smaller accounts as a part of strategy.
- It has successfully gained sales traction from a prestigious global MNC account on dedicated efforts of the R&D, perfumers, marketing, over the past two years.
- While the business contribution from the initial orders is modest, the company remains optimistic about its growth potential over the next few years.
- Consolidated operating EBITDA in 9MFY24 grew 44% to Rs. 231 crore, with margin at 16.1%. It was excluding tender fee amortization of Rs. 7.9 crore. This performance was supported by higher volumes, strategic pricing actions, effective raw material and inventory management.
- Company gained sales traction from the global MNC account, the result of two years of concerted efforts by R&D, perfumers, marketing, and other team members. Though this partnership is in its nascent stages, it will grow significantly over the next 3-5 years. This relationship marks a significant milestone in strategic global expansion.
- Management has taken various steps to optimize the production between two facilities in Netherlands and Italy. This has helped to increase the volume of production without any significant capex. Expects capex in Europe in FY26 for additional manufacturing capacity.
- It has combined programs between Holland Aromatics and CFF. So, they work as one combined operation. That helps with the raw material efficiency and also the production planning efficiency. So, the company is able to get more production between the 2 facilities combined than each of the facilities as a standalone facility.
- Maintenance capex to be around Rs 20-30cr per annum. The company has no significant capex plans in the next 12 months.
- Company would look to reduce debt in the medium term on the back of better cash flows.
- Current capacity utilization levels stand at ~50% for manufacturing units in India.
- Board has policy to distribute 30-40% of net profit via dividends/buyback.
- Global Ingredients revenue stood at Rs 11.5 crore. Company is looking at a full backward integration. The backward integration program has commenced actual full commercial production since December. Company has already seen the Global Ingredients sales and margin better than last year. Global Ingredients has been in negative territory last year, while the company guides for positive EBITDA in the quarters to come.
- Management said that Q4 remains strong quarter while Q1 relatively weak.
- Company had roughly 20% of SME business in the past, it had come down to almost 10% in the 5 years. This year, it will be 12% of overall Fragrance business. The mid and small have grown faster than the larger FMCG and the global accounts are growing fast. But the other categories have also grown. So, the global and large accounts and the mid- and small, the ratio remains the same, 45% with large, 30% with the mid, and 10-12% with the smaller companies. The remaining 10% is miscellaneous products to the industry to other players and export or ingredient business.

Key Triggers

Business Outlook

S H Kelkar and Company is one of the largest player in Fragrance and Flavour in India. Company operates in two segments: Fragrances (about 85% of sales), where it manufactures/trades in Fragrances and aroma ingredients, and Flavours (15% of sales). It offers fragrances in various categories, such as personal care, hair care, skincare and cosmetics, fabric care, household products and fine fragrances. Over the years, SHK has developed a vast product portfolio of fragrances and flavor products for the FMCG, personal care, pharmaceutical and food & beverages industry. Company has seven creative development centres which includes two in India, two in Netherlands, one each in Italy, Singapore and Indonesia. SHK has 8 manufacturing facilities across the globe. It caters to more than 4,000 clients local and multinational.

The global fragrance and flavour market is largely oligopolistic with a few aroma formulators. These include Givaudan, Firmenich, American firm International Flavors & Fragrances Inc., Germany's Symrise AG and Japan's Takasago International Corp. SH Kelkar is India's largest aroma chemicals company. The company produces aroma chemicals while manufacturing a small portion of its raw materials in-house for captive consumption and sale.

Fragrance segment is witnessing good traction of new product development with a slew of new launches across categories. Company has an edge over competitors, given its strong leadership in the FMCG category. With a strong domestic portfolio, robust manufacturing capabilities, good inventory management and strong supply chain, the company is well poised to capture new growth levers. For its bio-technology innovation in the ingredients portfolio, the company's R&D efforts are progressing in the right direction and it is constantly working on prototype development and exploring new applications as well.

Company had bought back 29 lakh equity shares at Rs 210 per equity share through tender offer route in Dec-2021. Company spent Rs 61 crore in the said buyback.

EBITDA got impacted in FY22/FY23 due to cost pressure resulting from global raw material inflation and supply chain constraints, it was partially mitigated by calibrated price hikes.

Major step for accelerated growth was the acquisition of Holland Aromatics BV and NuTaste Food and Drink Labs Private Limited, through the company's wholly owned subsidiaries – Keva Europe BV and Keva Flavours Private Limited. The acquisition of Holland Aromatics BV, a Netherlands based fragrance manufacturer helped with strong local presence in Europe and complements CFF business. It would strengthen both local and global business.

NuTaste Food and Drink Labs Private Limited paves the way for further expansion into high potential Flavour categories such as syrups, sauces, seasoning, fruit preparations, and other such premium grade products. It would further accelerate momentum for growth in the fast-moving FMCG sector, particularly the QSR space, in which the company is focusing on as a key area of future growth. NuTaste's complementary set of products will enable to cater to the entire requirements of the FMCG, bakery, confectionery and pharma sectors. The acquisition complements Flavour business and will help grow faster.

Fragrance Segment

Fragrance segment remains the main revenue contributor with 87% share in FY23. The products in the segment are used by various consumption categories including personal wash, soaps and

detergents, sanitisers, home cleaners, fabric care, fine fragrances, etc. Company is a leader in the Indian fragrance industry constantly growing ahead of the market led by its rich 100 years of experience. The expertise of specialised perfumers and creative development centres in India, Singapore and Europe are leveraged to drive innovation and customise products based on specific geographical requirements.

Company is well poised to leverage the growth of the Indian fragrance market further aided by new business prospects from a global FMCG Company. This, combined with the existing strong client base and increased global presence, will enable sustainable long-term business growth.

Personal care is a significant application segment, owing to an increase in demand for deodorants, perfumes, soaps, creams, talcum powders etc. Rise in demand for car and room fresheners and increase in popularity of aromatherapy are also expected to drive growth of the market for fragrance ingredients. The hospitality sector is also experiencing a growth in demand for fragrances to create a pleasant atmosphere. Fragrances are widely approved for industrial use, such as ambience fragrances for consumer durables and personal care accessories. In addition, owing to growth in disposable income, more local consumers, especially young consumers, opt for quality goods. Natural fragrances and flavours are costly due to their processing; and because of limited resources, industry players have developed cost-efficient synthetic alternatives. These products have the advantages of regular supply, steady pricing, and lower production cost.

The fragrance market is projected to grow exponentially in the upcoming years due to rising personal care, brand awareness, increasing disposable income, growing demand in food & beverages products and aromatherapy applications.

Fragrances – Growth drivers
Rise in the disposable income
Awareness regarding personal hygiene
Growing exposure to global trends, resulting in higher demand for international fragrance brands
Continued growth in personal care category
Emerging use of fragrance in newer products like paint, fabrics, stationery, toys, household care

Flavors segment
Company has established itself as a leading player in the domestic flavour manufacturing sector. The flavour products are used as raw material by producers of baked goods, dairy products, beverages and pharmaceutical products. Its products are FSSAI, US FDA and Halal approved and manufactured in technologically advanced facilities with a well-equipped R&D lab. Company has 5-member skilled application team of flavourists. The team ensures in-depth market research and analysis of emerging trends to maintain leadership in the segment. With the sector, health and wellness and naturals segments are witnessing increasing popularity.

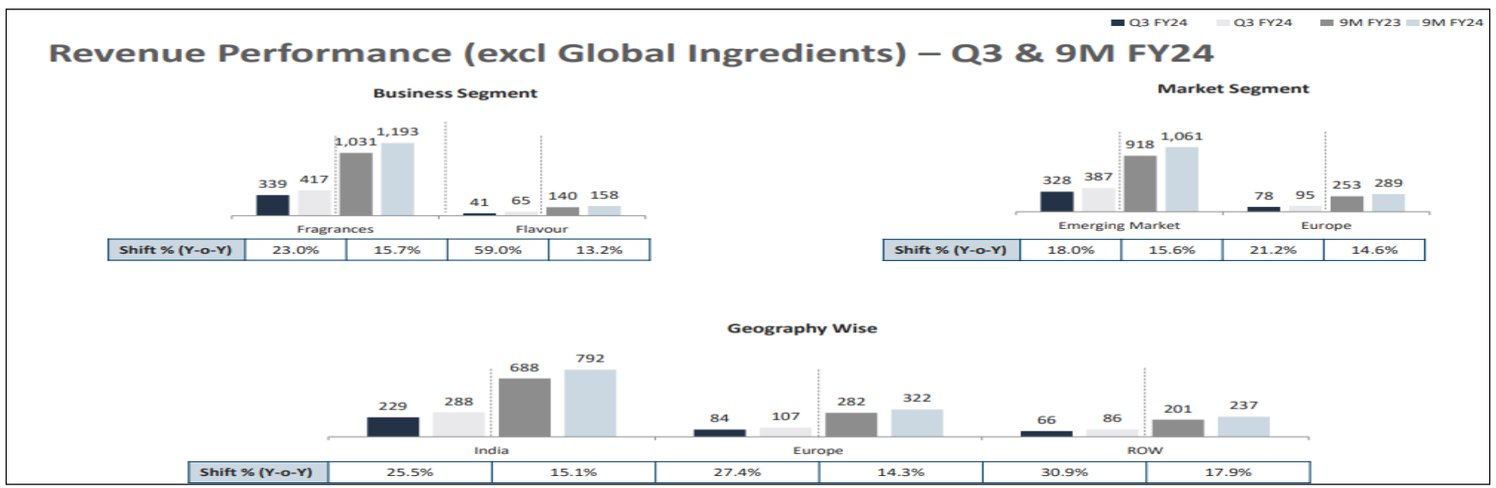
There is an upcoming trend of using natural flavours owing to the rise in health awareness. The increasing consumer interest in nutritionally enriched products and all-natural foods is promoting the demand for high-value premium and natural additives, expanding the demand for natural food flavours. Citrus essential oils have also seen a noticeable increase in use in beverages due to their immunity-boosting and antioxidant characteristics. The food and beverage industry provides great opportunities for flavour manufacturers. There is a substantial rise in demand for foods

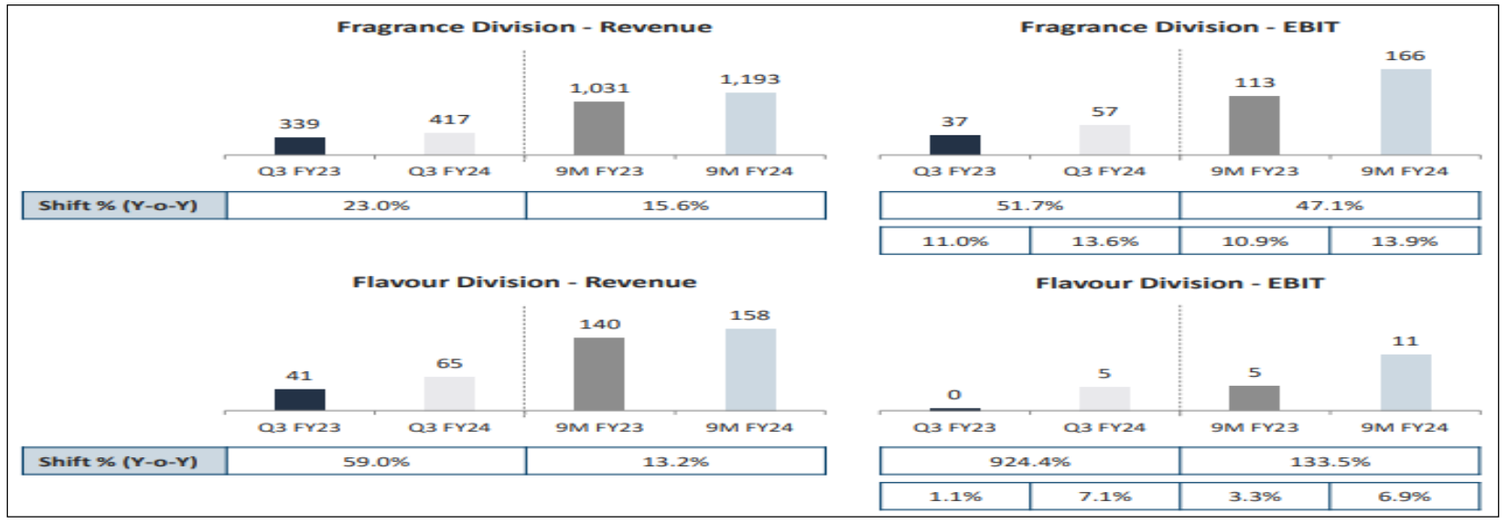
with exotic or ethnic flavours for variant flavour blends. Increase in demand for ready-to-eat meals & fast food is a key driver for the food flavours industry across the globe.

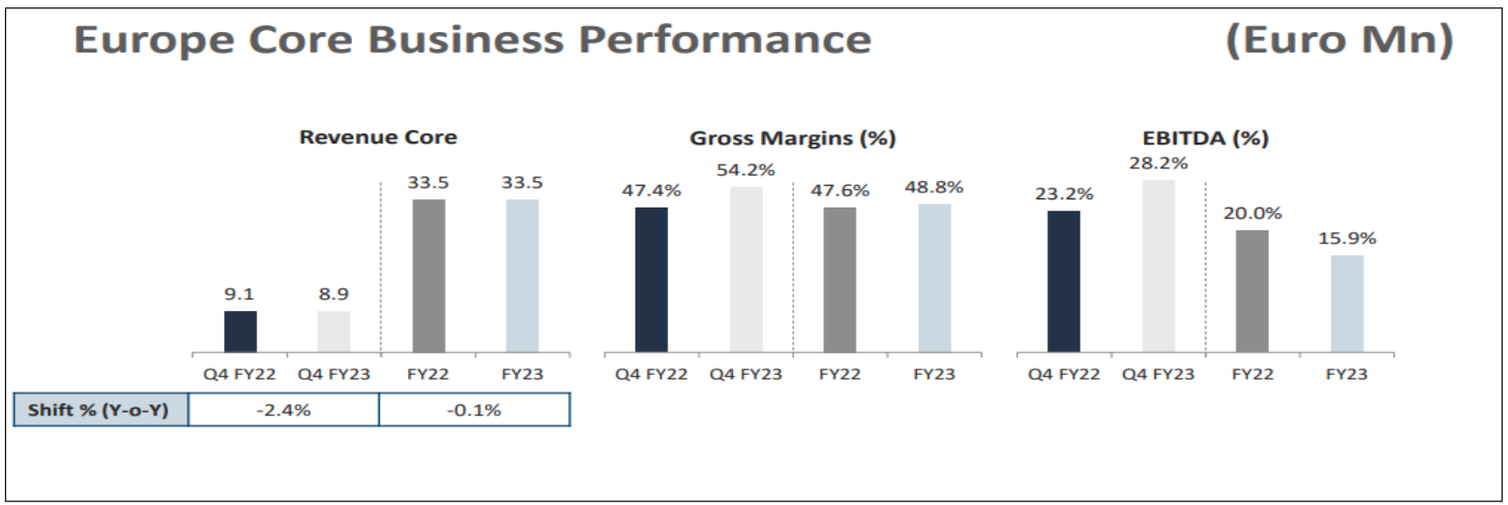
The flavors market is driven by the high demand for beverages, ready to eat food items, increased usage in ice creams, smoothies, bakery and confectionery items, energy drinks. Furthermore, the emerging trend of vegan and organic variants that contain plant-based derivatives is expected to bolster the India flavors market in the coming years.

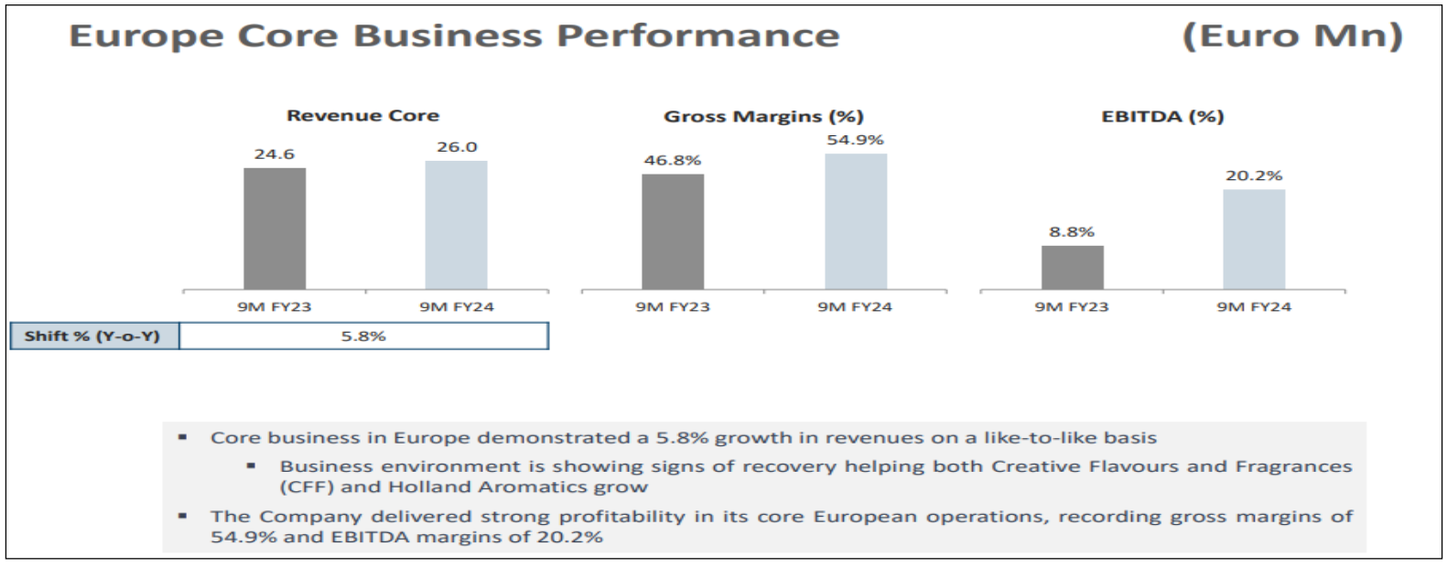
Flavours – Growth drivers
Growth in savoury market
Increasing demand for packaged, ready-to-eat food items and beverages
Rising utilisation of flavouring ingredients in bakery and confectionery items, ice-creams, smoothies, energy drinks, etc.
Escalating popularity of processed and shelf-stable food products
Growing use of natural flavours in newer categories like oral care, skin care etc.

Entry into the US market
US market is one of the largest single markets in the world, and it is almost 35% of the global Fragrance and Flavours market, which translates to between US$ 7-8 billion of fragrance and flavour opportunity. The company is just starting to build business in the US.
Company would need to put a design studio, manufacturing, etc. The approach to the US is more organic investment and not looking for any inorganic acquisition. US market is much more consolidated than the European market because it is basically one common market unlike Europe where the market is large, but each country and each region has different preferences.




Fragrance Division - Revenue
339
417
1,031
1,193
Q3 FY23
Q3 FY24
9M FY23
9M FY24
Shift % (Y-o-Y)
23.0%
15.6%
Fragrance Division - EBIT
37
57
113
166
Q3 FY23
Q3 FY24
9M FY23
9M FY24
51.7%
47.1%
11.0%
13.6%
10.9%
13.9%
Flavour Division - Revenue
41
65
140
158
Q3 FY23
Q3 FY24
9M FY23
9M FY24
Shift % (Y-o-Y)
59.0%
13.2%
Flavour Division - EBIT
0
5
5
11
Q3 FY23
Q3 FY24
9M FY23
9M FY24
924.4%
133.5%
1.1%
7.1%
3.3%
6.9%


Europe Core Business Performance
(Euro Mn)
Revenue Core
9.1
8.9
33.5
33.5
Q4 FY22
Q4 FY23
FY22
FY23
Shift % (Y-o-Y)
-2.4%
-0.1%
Gross Margins (%)
47.4%
54.2%
47.6%
48.8%
Q4 FY22
Q4 FY23
FY22
FY23
EBITDA (%)
23.2%
28.2%
20.0%
15.9%
Q4 FY22
Q4 FY23
FY22
FY23



(Source: Company, HDFC sec)

Participation in Global RFPs

SHK had earlier been shortlisted by a large global FMCG MNC as one of the registered suppliers of fragrances. The company is now participating in the global RFP (Request for Proposal) and engages with the MNCs on an interactive pitch for commercial tender submission. The participation is in line with the company's strategy of more deeply associating with large global MNCs. SHK has strong competence and such participation sets the stage for SHK to tap upon further global RFP opportunities. In addition, the company's acquisitions of Holland Aromatics along with the CFF business would strengthen its presence in the high-potential global MNC space over the medium to long term.

Driven by robust R&D capabilities and innovation strategies, SHK is the only company of Indian origin to file patents in the field of Fragrance and Novel Aroma Molecules. This strategic association would enhance the company's competitive advantage in the domestic markets and enable SHK to build its presence in the high-potential global MNC space in the longer term.

Global Creative Development Centres

The Creative Development Centres are located across 5 countries, help to study and obtain deep insights on the new and emerging trends. The centres deploy a great talent mix to collaborate with customers across different regions of the world and understand local tastes, thus ensuring a competitive edge.

Company has a specialised Fine Fragrances and Beauty Development Centre in Amsterdam, Air Care and Personal Wash Development Centre in Mumbai, and Fabric Care Development Centre in Singapore.

Additional Equity Investment in Keva Europe BV

Company made an investment of Euro 50 lakh or Rs 43cr in Keva Europe BV, a wholly owned subsidiary by way of contribution to the equity capital of Keva Europe BV by subscribing to 13.92 lakh ordinary Equity shares with nominal value of EUR 1 each of Keva Europe BV at EUR 3.59 per share. Requisite consents and approvals with respect to the said investment have been obtained.

Indian flavours and fragrance industry

India is a significant market, not just in the Asia Pacific but also in the global F&F market. It is a major export market, exporting over 75% of its domestic production of flavour and fragrance ingredients. It is also a leading supplier of natural ingredients and caters to nearly 80% of the global demand for mint extracts. The Indian industry growth is being aided by the growing global demand for natural products and ingredients. However, the majority of the industry in India lies in the unorganised sector, which caters to products like incense sticks. The organised sector might be aided in the coming years by government schemes seeking to make the economy more formalised. The Indian flavours market was estimated at Rs 3,922 crore in 2022 and is expected to reach Rs 6,435 crore by 2028, at 8.7% CAGR. The expanding food processing industry, along with the increasing demand for packaged, ready-to-eat food items and beverages, is primarily driving the India flavours market. The rising use of flavouring ingredients in bakery and confectionery items, ice-creams, smoothies, energy drinks, etc., is also adding to market growth. Rising urbanisation, increasing penetration of numerous western food trends, growing number of quick-service restaurants (QSRs) and the emerging café culture are further augmenting the demand for flavouring agents. The escalating popularity of processed and shelf-stable food products, particularly among the millennial consumers, is catalysing the market. The introduction of several stringent norms by the Food Safety and Standards Authority of India (FSSAI) regarding the quality of flavours used in processed food products is a significant growth-inducing factor. The rising concerns towards the negative health impact of chemical-based flavouring agents is propelling the adoption of natural ingredients-based flavours. This has led to the emergence of various healthier product variants, including vegan and organic flavours, that contain 100% plant-based derivatives. Future demand is expected to be driven by increasing consumer inclination towards RTE food products, rising demand for premium alcoholic beverages, and shifting consumer preferences towards natural and clean label ingredients.

The Indian fragrance market is driven by rising personal care, brand awareness, increasing disposable income, growing demand in middle-class people and affordable price of fragrance in the form

of mass perfumes & deodorants. Fragrances are an integral part of soaps and detergents, cosmetics and toiletries, fine fragrances, household cleaners and air fresheners among others. The growing beauty market led by the fast-rising high-income class is aiding the growth of luxury beauty products, which are propelling the fragrance market. As consumer perception is changing from perceiving fragranced beauty products as a luxury to perceiving them as a necessity, the fragrance segment is witnessing robust growth. With a paradigm shift in the social construct globally and with an understanding of gender fluidity, unisex fragrances are gaining popularity. The Indian fragrance is expected to reach Rs 13900cr by 2024, expanding at ~15% CAGR.

Global flavours and fragrance industry

According to IMARC, the global flavours and fragrances market size reached US$ 31 billion in 2022. The flavours and fragrances market is projected to register 4.6% CAGR during 2022-27. The primary demand drivers include rising demand and consumption of processed food and personal care & cosmetic products globally. Rising disposable income in emerging economies like India and China coupled with population growth is expected to augment the demand for personal care and cosmetic products in the industry. In addition, the busy lifestyle pattern upheld in developing as well as developed countries are anticipated to augment the demand for processed foods & beverages, thereby increasing the demand for flavours and fragrances. The natural chemicals segment dominated the industry in 2022 and accounted for the maximum share of more than 74.3% of the overall revenue. This is attributed to the ever-increasing product usage in various application industries like pharmaceuticals, aromatherapy, and natural cosmetics. Furthermore, increasing research spending for the development of natural fragrance compounds is expected to have a positive impact on the overall industry. Flavours are the aromas used in food & beverage products. There is a rise in the application of flavours in several foods and beverages in commercial as well as domestic applications. In addition, feed and feed additive manufacturers are focusing more on providing palatability solutions to increase feed intake. This, in turn, is projected to propel the demand for flavours in animal feed applications supporting the overall market growth. The fragrances application segment dominated the global F&F industry in 2022 accounting for over 53.6% of the overall revenue. The high share can be attributed to the increased demand for various fragrances in toiletries, such as hand washes, detergents, soaps, personal care products, and cosmetics. Furthermore, fragrance plays an important role in aromatherapy applications, owing to which essential oils, materials, compounds, and aromatic oils demand is likely to be driven in aromatherapy applications. Asia Pacific dominated the global F&F industry in 2022 accounting for more than 31.4% of the overall revenue. This is attributed to the shift in choices of consumers towards nutritional and healthy foods and beverages in most populated countries like India and China. Asian flavours and fragrances have also gained popularity in the major regions of Europe and North America. Indonesia, India, China, and Vietnam. Multiple manufacturing companies are focusing on the expansion of their business and investments in R&D facilities in the Asia Pacific region.

Key Risks

Sharp rise in raw material prices could adversely impact profitability

In manufacturing of F&F, SHK uses 1500+ raw materials from 4 broad category essential oil fruit extract flowers, wood etc. The prices of these raw materials have been volatile in the recent past and have adversely impacted its operating margin during same period. Similar adverse changes in the raw material prices could have a negative impact on earnings. Sudden spike in RM prices hurt the company's operational performance as the company passes on prices with 3-5 months leg. Lower gross margin impacts operating margin and thus profitability.

Foreign exchange risk

SHK's overseas revenue and a portion of raw material expenditures (~50% of RM) are in foreign currency, mostly USD and Euro. Company derived ~40% of its revenue from exports in FY23. Thus, the company is exposed to the risk of fluctuation in foreign exchange rates.

Increasing competitive intensity may erode pricing power

S H Kelkar faces competition from global companies like Givaudan, IFF, Firmenich and Symrise which collectively hold around 60% share in Indian F&F market. The foreign companies have stronger financial strength and larger scale of operations coupled with higher investment in R&D (8-9% vs. 2-3% by SHK).
Though in the medium term, the company has not planned any major capex, significant debt funded capex may lead to deterioration of Balance Sheet and thus profitability.

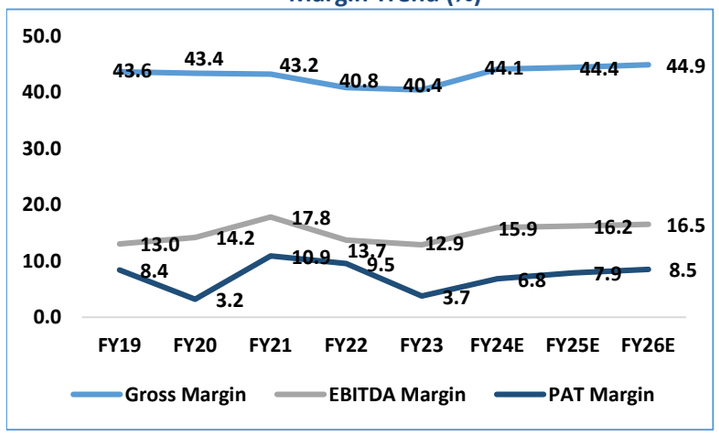
Recent acquisitions may strain the financials of the group unless integrated fast and synergies benefits are derived soon. Debt funded acquisitions may impact the leverage ratios. Finance cost is high at ~Rs.30cr.

The company carries a large amount of Goodwill on consolidation of Rs 302 crore due to acquisitions, In case the acquired companies fall into bad times, it would be required to impair the goodwill.

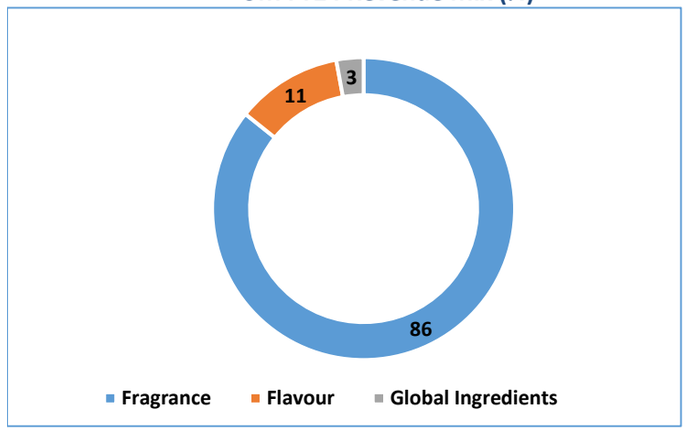
Company Background

S H Kelkar and Company Limited (SHK) is the largest Indian-origin Fragrance & Flavour Company in India. It has a long-standing reputation in the fragrance industry, developed over 100 years of experience. Its fragrance products and ingredients are used as a raw material in personal wash, fabric care, skin and hair care, fine fragrances and household products. Its flavour products are used as a raw material by producers of baked goods, dairy products, beverages and pharmaceutical products. Company offers products under SHK, Cobra and Keva brands. The Company has a strong and dedicated team of scientists, perfumers, flavourists, evaluators and application executives at its facilities and seven creation and development centres in India, Singapore, Amsterdam, Indonesia and Italy for the development of fragrance and flavour products. Company has filed 18 patent applications in respect of molecules, systems and processes developed by it, of which 2 have been commercially exploited in deodorant and fine fragrance categories. Over the years, SHK has developed a vast product portfolio of fragrances and flavour products for the FMCG, personal care, pharmaceutical and food & beverages industry. The Company has a diverse and large client base including leading national and multinational FMCG companies, blenders of fragrances & flavours and fragrance & flavour producers.

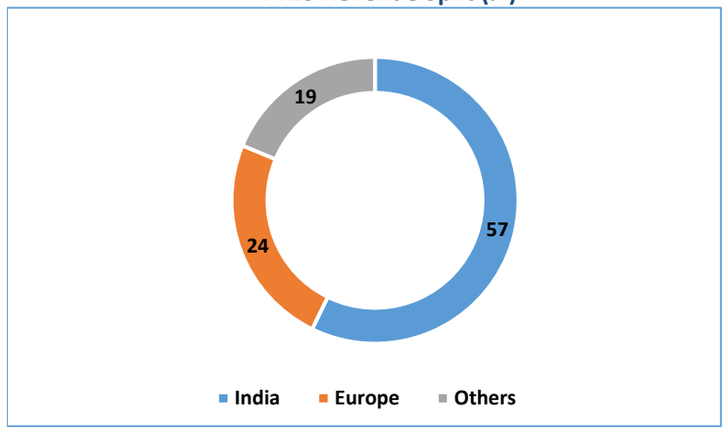
Margin Trend (%)



9M FY24 Revenue Mix (%)



FY23 Revenue Split (%)



(Source: Company, HDFC sec)

Financials (Consolidated)

Income Statement

(Rs Cr)	FY21	FY22	FY23	FY24E	FY25E	FY26E
Total Income	**1322**	**1564**	**1687**	**1902**	**2108**	**2361**
Growth (%)	18.7	18.3	7.8	12.8	10.8	12
Operating Expenses	1086	1350	1469	1599	1766	1971
EBITDA	**236**	**215**	**217**	**303**	**342**	**390**
Growth (%)	49.2	-9	1.3	39.5	12.8	14.1
EBITDA Margin (%)	**17.8**	**13.7**	**12.9**	**15.9**	**16.2**	**16.5**
Depreciation	62	72	81	90	96	103
EBIT	174	143	137	213	246	287
Other Income	24	18	12	8	10	13
Exceptional Items	13	-12	-20	0	0	0
Interest	17	16	24	41	30	28
PBT	181	144	125	180	226	272
Tax	50	-17	41	50	60	71
RPAT	**135**	**149**	**61**	**128**	**163**	**196**
Growth (%)	303.4	3.7	-57.7	105.5	28.3	20.5
EPS	9.6	10.7	4.4	9.2	11.8	14.2

Balance Sheet

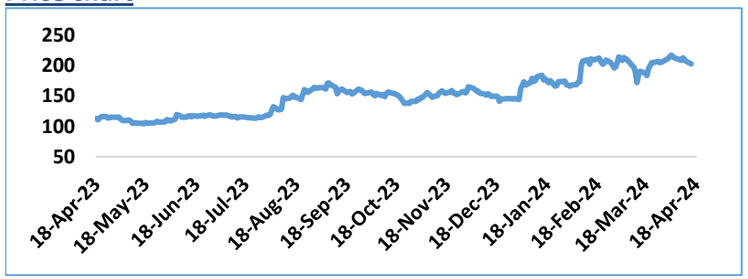
As at March	FY21	FY22	FY23	FY24E	FY25E	FY26E
SOURCE OF FUNDS						
Share Capital	141	138	138	138	138	138
Reserves	810	875	926	1024	1156	1315
Shareholders' Funds	**952**	**1013**	**1064**	**1162**	**1294**	**1453**
Long Term Debt	295	363	319	297	267	237
Net Deferred Liabs	-24	1	-13	-9	-9	-9
Long Term Provisions & Others	40	41	44	49	55	64
Minority Interest	3	80	38	38	38	38
Total Source of Funds	**1264**	**1498**	**1453**	**1537**	**1645**	**1783**
APPLICATION OF FUNDS						
Net Block (incl. CWIP)	383	409	409	464	450	438
Goodwill	365	546	531	516	503	492
Long Term Loans & Advances	45	35	15	18	22	27
Total Non-Current Assets	**794**	**990**	**954**	**997**	**975**	**956**
Current Investments	0	0	23	21	17	25
Inventories	429	555	604	651	699	777
Trade Receivables	375	461	438	526	582	653
Short term Loans & Advances	8	6	6	6	7	9
Cash & Equivalents	139	123	67	8	58	80
Other Current Assets	64	88	69	61	68	77
Total Current Assets	**1045**	**1234**	**1209**	**1275**	**1432**	**1623**
Short-Term Borrowings	167	269	247	255	242	220
Trade Payables	248	352	365	383	416	457
Other Current Liab & Provisions	145	89	80	78	81	88
Short-Term Provisions	13	15	17	18	23	30
Total Current Liabilities	574	726	710	735	762	797
Net Current Assets	470	508	499	540	670	826
Total Application of Funds	**1264**	**1498**	**1453**	**1537**	**1645**	**1783**

S H Kelkar & Company Ltd

Cash Flow Statement

(Rs Cr)	FY21	FY22	FY23	FY24E	FY25E	FY26E
Reported PBT	194	132	104	180	226	272
Non-operating & EO items	-24	-18	-12	-8	-10	-13
Interest Expenses	17	16	24	41	30	28
Depreciation	62	72	81	90	96	103
Working Capital Change	-42	-90	39	-101	-80	-134
Tax Paid	-12	-62	-39	-50	-60	-71
OPERATING CASH FLOW (a)	**195**	**50**	**197**	**152**	**202**	**184**
Capex	-34	-27	-48	-130	-70	-80
Free Cash Flow	161	23	149	22	132	104
Investments	-138	-150	-67	-3	-4	-5
Non-operating income	24	18	12	8	10	13
INVESTING CASH FLOW (b)	**-149**	**-159**	**-103**	**-125**	**-64**	**-72**
Debt Issuance / (Repaid)	127	31	-90	-13	-24	-21
Interest Expenses	-17	-16	-24	-41	-30	-28
FCFE	270	38	35	-32	78	56
Share Capital Issuance/MI	-8	74	-42	0	0	0
Dividend	-14	-78	-19	-32	-35	-42
FINANCING CASH FLOW (c)	**88**	**12**	**-175**	**-86**	**-89**	**-90**
NET CASH FLOW (a+b+c)	**134**	**-97**	**-81**	**-59**	**50**	**22**

Price chart



(Source: Company, HDFC sec)

Key Ratios

	FY21	FY22	FY23	FY24E	FY25E	FY26E
Profitability (%)						
Gross Margin	43.2	40.8	40.4	44.1	44.4	44.9
EBITDA Margin	17.8	13.7	12.9	15.9	16.2	16.5
EBIT Margin	13.2	9.1	8.1	11.2	11.7	12.1
APAT Margin	10.9	9.5	3.7	6.8	7.9	8.5
RoE	15.2	15.1	5.9	11.5	13.3	14.3
RoCE	11.7	7.8	7.8	11.5	12.6	13.9
Solvency Ratio (x)						
Net Debt/EBITDA	1.4	2.4	2.2	1.7	1.3	0.9
D/E	0.5	0.6	0.5	0.5	0.4	0.3
Interest Coverage	10.2	8.8	5.7	5.2	8.3	10.4
PER SHARE DATA						
EPS	9.6	10.7	4.4	9.2	11.8	14.2
CEPS	13.9	15.9	10.2	15.8	18.8	21.7
BV	67	73	77	84	93	105
Dividend	1.8	0	2	2.3	2.5	3
Turnover Ratios						
Debtor days	103	108	95	101	101	101
Inventory days	106	115	125	125	121	120
Creditors days	95	105	105	100	98	98
VALUATION (x)						
P/E	21.1	18.8	45.6	21.9	17.1	14.2
P/BV	3	2.8	2.6	2.4	2.2	1.9
EV/EBITDA	14.3	15.7	15.5	11.1	9.8	8.6
EV / Revenues	2.5	2.2	2	1.8	1.6	1.4
Dividend Payout (%)	18.3	0	45.2	24.9	21.2	21.1
Dividend Yield (%)	0.9	0	1	1.1	1.2	1.5

(Source: Company, HDFC sec)

HDFC Sec Retail Research Rating description

Green Rating stocks

This rating is given to stocks that represent large and established business having track record of decades and good reputation in the industry. They are industry leaders or have significant market share. They have multiple streams of cash
flows and/or strong balance sheet to withstand downturn in economic cycle. These stocks offer moderate returns and at the same time are unlikely to suffer severe drawdown in their stock prices. These stocks can be kept as a part of long term portfolio holding, if so desired. This stocks offer low risk and lower reward and are suitable for beginners. They offer stability to the portfolio.

Yellow Rating stocks

This rating is given to stocks that have strong balance sheet and are from relatively stable industries which are likely to remain relevant for long time and unlikely to be affected much by economic or technological disruptions. These stocks
have emerged stronger over time but are yet to reach the level of green rating stocks. They offer medium risk, medium return opportunities. Some of these have the potential to attain green rating over time.

Red Rating stocks

This rating is given to emerging companies which are riskier than their established peers. Their share price tends to be volatile though they offer high growth potential. They are susceptible to severe downturn in their industry or in overall economy. Management of these companies need to prove their mettle in handling cyclicality of their business. If they are successful in navigating challenges, the market rewards their shareholders with handsome gains; otherwise their stock prices can take a severe beating. Overall these stocks offer high risk high return opportunities.

Disclosure:

I, **Kushal Rughani, Research Analyst, MBA**, author and the name subscribed to this report, hereby certify that all of the views expressed in this research report accurately reflect my views about the subject issuer(s) or securities. SEBI conducted the inspection and based on their observations have issued advise/warning. The said observations have been complied with. We also certify that no part of our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

Research Analyst or his/her relative or HDFC Securities Ltd. does not have any financial interest in the subject company. Also Research Analyst or his relative or HDFC Securities Ltd. or its Associate may have beneficial ownership of 1% or more in the subject company at the end of the month immediately preceding the date of publication of the Research Report. Further Research Analyst or his relative or HDFC Securities Ltd. or its associate does not have any material conflict of interest.

Any holding in stock – No

HDFC Securities Limited (HSL) is a SEBI Registered Research Analyst having registration no. INH000002475.

Disclaimer:

This report has been prepared by HDFC Securities Ltd and is solely for information of the recipient only. The report must not be used as a singular basis of any investment decision. The views herein are of a general nature and do not consider the risk appetite or the particular circumstances of an individual investor; readers are requested to take professional advice before investing. Nothing in this document should be construed as investment advice. Each recipient of this document should make such investigations as they deem necessary to arrive at an independent evaluation of an investment in securities of the companies referred to in this document (including merits and risks) and should consult their own advisors to determine merits and risks of such investment. The information and opinions contained herein have been compiled or arrived at, based upon information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy, completeness or correctness. All such information and opinions are subject to change without notice. Descriptions of any company or companies or their securities mentioned herein are not intended to be complete. HSL is not obliged to update this report for such changes. HSL has the right to make changes and modifications at any time.

This report is not directed to, or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity who is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject HSL or its affiliates to any registration or licensing requirement within such jurisdiction.

If this report is inadvertently sent or has reached any person in such country, especially, United States of America, the same should be ignored and brought to the attention of the sender. This document may not be reproduced, distributed or published in whole or in part, directly or indirectly, for any purposes or in any manner.

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations, which could have an adverse effect on their value or price, or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies effectively assume currency risk. It should not be considered to be taken as an offer to sell or a solicitation to buy any security.
This document is not, and should not, be construed as an offer or solicitation of an offer, to buy or sell any securities or other financial instruments. This report should not be construed as an invitation or solicitation to do business with HSL. HSL may from time to time solicit from, or perform broking, or other services for, any company mentioned in this mail and/or its attachments.
HSL and its affiliated company(ies), their directors and employees may; (a) from time to time, have a long or short position in, and buy or sell the securities of the company(ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the company(ies) discussed herein or act as an advisor or lender/borrower to such company(ies) or may have any other potential conflict of interests with respect to any recommendation and other related information and opinions.
HSL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on basis of this report, including but not restricted to, fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.
HSL and other group companies, its directors, associates, employees may have various positions in any of the stocks, securities and financial instruments dealt in the report, or may make sell or purchase or other deals in these securities from time to time or may deal in other securities of the companies / organizations described in this report. As regards the associates of HSL please refer the website.
HSL or its associates might have managed or co-managed public offering of securities for the subject company or might have been mandated by the subject company for any other assignment in the past twelve months.
HSL or its associates might have received any compensation from the companies mentioned in the report during the period preceding twelve months from t date of this report for services in respect of managing or co-managing public offerings, corporate finance, investment banking or merchant banking, brokerage services or other advisory service in a merger or specific transaction in the normal course of business.
HSL or its analysts did not receive any compensation or other benefits from the companies mentioned in the report or third party in connection with preparation of the research report. Accordingly, neither HSL nor Research Analysts have any material conflict of interest at the time of publication of this report. Compensation of our Research Analysts is not based on any specific merchant banking, investment banking or brokerage service transactions. HSL may have issued other reports that are inconsistent with and reach different conclusion from the information presented in this report.
Research entity has not been engaged in market making activity for the subject company. Research analyst has not served as an officer, director or employee of the subject company. We have not received any compensation/benefits from the subject company or third party in connection with the Research Report.

HDFC securities Limited, I Think Techno Campus, Building - B, "Alpha", Office Floor 8, Near Kanjurmarg Station, Opp. Crompton Greaves, Kanjurmarg (East), Mumbai 400 042 Phone: (022) 3075 3400 Fax: (022) 2496 5066
Compliance Officer: Murli V Karkera Email: complianceofficer@hdfcsec.com Phone: (022) 3045 3600
For grievance redressal contact Customer Care Team Email: customercare@hdfcsec.com Phone: (022) 3901 9400
HDFC Securities Limited, SEBI Reg. No.: NSE, BSE, MSEI, MCX: INZ000186937; AMFI Reg. No. ARN: 13549; PFRDA Reg. No. POP: 11092018; IRDA Corporate Agent License No.: CA0062; SEBI Research Analyst Reg. No.: INH000002475; SEBI Investment Adviser Reg. No.: INA000011538; CIN - U67120MH2000PLC152193
Investment in securities market are subject to market risks. Read all the related documents carefully before investing.
Mutual Funds Investments are subject to market risk. Please read the offer and scheme related documents carefully before investing.
Registration granted by SEBI, membership of BASL (in case of IAs) and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

KUSHAL MAHENDRA RUGHANI

Digitally signed by KUSHAL MAHENDRA RUGHANI
Date: 2024.04.22 09:55:29 +05'30'